PERRY CREEK CAPITAL PARTNERS LP

FINANCIAL STATEMENTS

YEAR ENDED DECEMBER 31, 2025

WITH INDEPENDENT AUDITOR'S REPORT

PERRY CREEK CAPITAL PARTNERS LP

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Independent Auditor's Report

General Partner
Perry Creek Capital Partners LP

Opinion
We have audited the financial statements of Perry Creek Capital Partners LP (the Partnership), which comprise the statement of financial condition, including the condensed schedule of investments, as of December 31, 2025, the related statements of operations, changes in partners' capital and cash flows for the year then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Partnership as of December 31, 2025, and the results of its operations, changes in partners' capital and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion
We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Partnership and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements
Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern within one year after the date that the financial statements are issued or available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Partnership's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

RSM US LLP

New York, New York
March 20, 2026

PERRY CREEK CAPITAL PARTNERS LP

STATEMENT OF FINANCIAL CONDITION
DECEMBER 31, 2025

ASSETS		
Investments, at fair value (cost $105,744,820)	$	156,278,761
Due from broker		3,095,437
Dividend receivable		151,762
Cash and cash equivalents		11,036
Due from affiliates		6,106
Interest receivable		4,421
TOTAL ASSETS	$	159,547,523
LIABILITIES AND PARTNERS' CAPITAL		
LIABILITIES		
Derivative contracts, at fair value	$	1,457,056
Accrued expenses		123,639
Total Liabilities		1,580,695
PARTNERS' CAPITAL		
General Partner		16,820,100
Limited Partners		141,146,728
Total Partners' Capital		157,966,828
TOTAL LIABILITIES AND PARTNERS' CAPITAL	$	159,547,523

See notes to financial statements

PERRY CREEK CAPITAL PARTNERS LP

CONDENSED SCHEDULE OF INVESTMENTS
DECEMBER 31, 2025

	Number of shares	Cost	Fair Value	% of Partners' Capital
Investments				
Common Stocks				
France				
Consumer Staples		$ 798,743	$ 320,114	0.2%
Global				
Communication Services				
Alphabet CLA	25,918	1,929,534	8,112,334	5.1%
United Kingdom				
Services				
SSP Group LLC	3,518,398	10,849,566	9,766,545	6.2%
United States				
Consumer Staples				
Performance Food Group Company	103,424	4,702,834	9,299,886	5.9%
Information Technology		4,392,126	752,038	0.5%
Financial				
First American Financial Corporation	342,442	16,863,266	21,039,636	13.3%
Real Estate*		8,107,175	9,660,264	6.1%
		$ 47,643,244	$ 58,950,817	37.3%
Investment Funds				
United States				
Quantitative		$ 699,447	$ 860,568	0.5%
Total Investments Funds		$ 699,447	$ 860,568	0.5%
Private Investments				
Bermuda				
Reinsurance				
Perren Capital Holdings Ltd. – SAC-PC-2	1	$ 16,883,406	$ 20,290,941	12.8%
Norway				
Software				
TidalX AI, Inc.	1,283,066	4,752,094	17,906,824	11.3%
United States				
Consumer Staples		2,036,612	428,558	0.3%
Financial		2,723	6,809	0.0%
Industrial*		13,448,424	13,811,758	8.7%
Technology				
Waymo LLC Series C	250,635	19,599,983	41,183,316	26.1%
Other		678,887	2,839,170	1.8%
		$ 57,402,129	$ 96,467,376	61.0%
Total Investments		$ 105,744,820	$ 156,278,761	98.8%

Derivative Contracts	Unrealized Appreciation/ (Depreciation)	% of Partners' Capital
Long Equity Swap		
United States		
Consumer Discretionary	$ (1,457,056)	-0.9%
	(1,457,056)	-0.9%
Total Derivative Contracts	$ (1,457,056)	-0.9%

* No individual position included represents more than 5% of Partners' Capital.

See notes to financial statements

PERRY CREEK CAPITAL PARTNERS LP

STATEMENT OF OPERATIONS
FOR THE YEAR ENDED DECEMBER 31, 2025

INVESTMENT INCOME		
Dividends (net of withholding taxes of $153,303)	$	2,526,157
Interest		175,769
TOTAL INVESTMENT INCOME		2,701,926
EXPENSES		
Management fees		1,300,100
Administrative fees		216,085
Professional fees		213,844
Interest expense		49,881
Research expenses		42,972
Other expenses		23,955
TOTAL EXPENSES		1,846,837
NET INVESTMENT INCOME		855,089
REALIZED AND UNREALIZED GAIN		
Net realized gain from investments, derivative contracts and foreign currencies		24,670,930
Net unrealized gain from investments, derivative contracts and foreign currencies		25,110,279
NET INCREASE IN PARTNERS' CAPITAL RESULTING FROM OPERATIONS	$	50,636,298

See notes to financial statement

PERRY CREEK CAPITAL PARTNERS LP

STATEMENT OF CHANGES IN PARTNERS' CAPITAL
FOR THE YEAR ENDED DECEMBER 31, 2025

	General Partner	Limited Partners	Total
PARTNERS' CAPITAL, at January 1, 2025	$ 8,423,612	$ 155,126,612	$ 163,550,224
Capital Contributions	62	1,933,138	1,933,200
Capital Distributions	(5,711)	(56,994,289)	(57,000,000)
General Partner Tax Distributions	(1,152,894)	-	(1,152,894)
Net investment income	218	854,871	855,089
Net realized gain from investments, derivative contracts and foreign currencies	2,464	24,668,466	24,670,930
Net unrealized gain from investments, derivative contracts and foreign currencies	2,508	25,107,771	25,110,279
Net change in carried interest allocation	9,549,841	(9,549,841)	-
PARTNERS' CAPITAL, at December 31, 2025	$ 16,820,100	$ 141,146,728	$ 157,966,828

See notes to financial statements.

PERRY CREEK CAPITAL PARTNERS LP

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2025

CASH FLOW FROM OPERATING ACTIVITIES		
Net increase in partners' capital resulting from operations	$	50,636,298
Adjustments to reconcile net increase in partners' capital resulting from operations to net cash provided by operating activities:		
Net realized gain from investments, derivative contracts and foreign currencies		(24,670,930)
Net unrealized gain from investments, derivative contracts and foreign currencies		(25,110,279)
Purchases of investments		(22,476,407)
Proceeds from sales of investments		73,682,384
Decrease in due from broker		3,910,024
Decrease in dividends receivable		238,803
Increase in interest receivable		(1,261)
Increase in due from affiliates		(6,106)
Decrease in due to affiliates		(8,062)
Increase in accrued expenses and other liabilities		14,486
Net cash provided by operating activities		56,208,950
CASH FLOW FROM FINANCING ACTIVITIES		
Capital Contributions		1,933,200
Capital Distributions		(57,000,000)
General Partner Tax Distributions		(1,152,894)
Net cash used in financing activities		(56,219,694)
NET DECREASE IN CASH AND CASH EQUIVALENTS		(10,744)
CASH AND CASH EQUIVALENTS BEGINNING OF YEAR		21,780
CASH AND CASH EQUIVALENTS END OF YEAR	$	11,036
Supplemental disclosure of cash flow information		
Cash paid during the year for interest	$	49,881

See notes to financial statements.

1. ORGANIZATION

Perry Creek Capital Partners LP (the "Partnership" or "Perry Creek") was registered as an Exempted Limited Partnership under the laws of the State of Delaware on May 14, 2020, and commenced operations on June 16, 2020, pursuant to the Amended and Restated Limited Partnership Agreement (as amended and restated, the "Agreement"). Perry Creek was formed to generate superior risk-adjusted returns over the long term by investing opportunistically in both liquid and illiquid instruments.

Perry Creek Capital Partners GP LLC, a Delaware limited liability company, is the general partner (the "General Partner") and is responsible for all investment decisions of the Partnership. Pursuant to a management agreement dated June 1, 2020 (the "Management Agreement"), Perry Creek Capital LP (the "Management Company") has been appointed to serve as the management company of the Partnership, and in such capacity, provides certain management, investment advisory and administrative services for the Partnership. The Management Company is registered as an investment advisor with the U.S. Securities and Exchange Commission effective September 19, 2014.

The Partnership was formed to invest its capital commitments of $300,355,000 alongside Perry Creek Capital Fund II LP ('Fund II") using an allocation methodology determined by the Management Company.

The Partnership will invest its capital over the period beginning on June 16, 2020 (the "Initial Closing Date") and ending on December 17, 2022, subject to two two-year extensions at the discretion of the General Partner (the "Investment Period") with consent of the Advisory Committee. On December 11, 2020, the Partnership received consent of the Advisory Committee for an initial two year extension of the Investment Period to December 17, 2024. On December 14, 2022, the Partnership received consent of the Advisory Committee for the final two-year extension of the Investment Period to December 17, 2026. On February 14, 2025, the Fund received consent from a majority-in-interest of its Limited Partners to launch a Successor Fund and terminate the Fund's Investment Period. As such, the Fund's Investment Period ended on February 19, 2025, upon the initial closing of a Successor Fund.

The Partnership held its final closing on June 16, 2020, and shall continue its regular business activities until the five-year anniversary date of the termination of the Investment Period. As a result of the initial two-year extension of the Investment Period, the term of the Partnership has been extended for an additional two years. The term of the Partnership may be extended for up to two consecutive additional one-year periods after such date by the General Partner with consent of the Advisory Committee, or further extended by the General Partner with the consent of a Majority in Interest of the Limited Partners.

All capitalized terms not defined herein have the meaning ascribed to them in the Agreement or subsequent amendments thereto, which should be read in connection with these financial statements.

2. SIGNIFICANT ACCOUNTING POLICIES

The Partnership's financial statements are prepared in accordance with accounting principles generally accepted in the United States of America ("U.S. GAAP") as detailed in the Financial Accounting Standards Board's ("FASB") Accounting Standards Codification ("ASC"), and all values are expressed in U.S. dollars, except where otherwise noted. The Partnership is considered an investment company under U.S. GAAP and follows the accounting and reporting guidance applicable to investment companies in the FASB ASC Topic 946.

Use of Estimates

The preparation of financial statements in conformity with U.S. GAAP may require management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Management believes that the estimates utilized in preparing the financial statements are reasonable; however, actual results could differ from those estimates.

Investment Transactions and Related Income and Expenses

The Partnership records purchases and sales transactions and related revenues and expenses on a trade date basis. Realized gains and losses are determined using cost calculated on a specific identification basis. Commissions on investment transactions are recorded on an execution basis and are included in the total cost or net proceeds of the related transactions as incurred. All payments related to swap transactions are reflected within realized gain/(loss).

Distributions received by the Partnership in respect of the Partnership's investments, whether in the form of cash or securities, are applied as a reduction of the investment's cost when identified by such entities as a return of capital. In instances where a distribution is not specifically identified as either return of capital or earnings, the General Partner uses its discretion, in good faith, to determine the appropriate treatment based on the facts and circumstances surrounding the distribution.

Interest income and interest expense are recorded on the accrual basis. However, when collection of all or a portion of interest from certain debt obligations becomes doubtful, the interest income pertaining to the current year may be reduced by decreasing the corresponding interest receivable previously recognized in the current year. Any further reductions in interest receivable greater than the current year's interest income will be recorded as a realized loss. Interest income includes the accretion and amortization of market discounts and premiums, respectively, on debt instruments calculated over the remaining life of the respective investments.

In-kind interest or dividend payments ("PIK") increase the principal balance of the respective debt and preferred equity investment. For any investments earning PIK, the cost basis of such investments is increased by the amount of PIK dividends or interests recorded. PIK accruals are recorded as interest or dividend income in accordance with the stipulated rate and stated terms of the instrument, unless the ultimate collection of all or a portion of such PIK amounts becomes doubtful, at which point the Partnership will reduce the interest or dividend income in the same manner as discussed for cash related income above.

Dividend income (net of applicable withholding taxes, if any) and dividend expense (representing amounts due on securities sold short) are recognized on the ex-dividend date or when the dividend is effectively received.

Valuation of Investments and Financial Instruments

The Partnership's investments and financial instruments are recorded at fair value, which is the price that would be received upon the sale of an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (exit price). Due to the inherent uncertainty of valuations of investments that are determined to be illiquid and/or do not have readily ascertainable fair values, the estimates of fair value may differ from the values ultimately realized by the Partnership, and those differences can be material.

U.S. GAAP establishes a hierarchal disclosure framework which prioritizes and ranks the level of market price observability used in measuring assets and liabilities at fair value. Market price observability is impacted by a number of factors, including the type of assets and liabilities and the specific characteristics of the assets and liabilities. Assets and liabilities with readily available actively quoted prices or for which fair value can be measured from actively quoted prices generally will have a higher degree of market price observability and lesser degree of judgment used in measuring fair value.

Assets and liabilities measured and reported at fair value are classified and disclosed in one of the following categories:

Level I – Fair value is determined using quoted prices that are available in active markets for identical assets and liabilities. The types of assets and liabilities which would generally be included in this category are certain listed equities and listed derivatives.

Level II – Fair value is determined by the General Partner using inputs other than quoted prices included within Level I that are observable for the asset or liability, either directly or indirectly. These may consist of quotations received from dealers making a market for such assets or liabilities ("broker quotes") to the extent that such broker quotes are executable, valuations obtained from independent third party pricing vendors ("independent pricing services"), models and other valuation methodologies based on pricing inputs that are either directly or indirectly market observable as of the reporting date. Consideration is given to the nature of the broker quotes (e.g., indicative or executable). Assets and liabilities for which executable broker quotes are significant inputs in determining the fair value of an asset or liability would be included within Level II. The types of assets and liabilities which would generally be included in this category are certain corporate bonds, certain credit default swap contracts, less liquid and restricted equity securities, forward contracts and certain over-the-counter (“OTC”) derivatives.

Level III – Fair value is determined by the General Partner using pricing inputs that are unobservable in the market and includes situations where there is little, if any, market activity for the asset or liability. The fair value of assets and liabilities in this category may require the General Partner to use significant judgment or estimation in determining fair value of the assets or liabilities. The General Partner may estimate the fair value of such assets and liabilities using a combination of observed transaction prices, independent pricing services and relevant broker quotes. Consideration is given to the nature of the broker quotes (e.g., indicative or executable). Assets and liabilities for which indicative broker quotes are significant inputs in determining the fair value of an asset or liability would be included within Level III. The types of assets and liabilities which would generally be included in this category are equity and/or debt securities issued by private entities and limited partnerships and bank debt traded on secondary markets.

Investments in investment funds are valued using the net asset value (NAV) provided by the underlying investment funds as a practical expedient, without further adjustment, unless it is probable that the investment will be sold at a value significantly different than the NAV. Investment funds measured using NAV as a practical expedient are not categorized within the fair value hierarchy.

The inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, an asset’s or liability’s level classification within the fair value hierarchy is based on the least observable market input that is significant to the fair value measurement. The General Partner’s assessment of the significance of a particular input to the fair value measurement requires judgment, and considers factors specific to the asset or liability.

The valuation techniques the General Partner selects seek to maximize the use of observable market inputs to the extent possible and appropriate, in order to estimate the price at which an orderly transaction would take place on the measurement date. Markets are considered inactive when transactions are not occurring with sufficient regularity. Inactive markets may be characterized by a significant decline in the volume and level of observed trading activity or through large or inconsistent bid/offer spreads. In an inactive market, the General Partner considers any reasonably available information it is aware of, including pricing for similar instruments, recent arm's length market transactions, any relevant observable market inputs, indicative dealer or broker quotations, and internal model-based estimates. The General Partner applies judgment in determining the most appropriate inputs and the weighting ascribed to each such input as well as in the selection of valuation techniques. Regardless of the valuation techniques used, the General Partner incorporates assumptions that the General Partner believes market participants would make for credit, funding and liquidity considerations.

Corporate bonds and derivatives listed on one or more national securities exchanges are valued at their last reported sales price on the date of determination. OTC Derivatives are valued using observable market information relevant to the underlying reference instruments. To the extent such information is not available, management may make certain estimates or assumptions as necessary. Bank debt traded on secondary markets are valued at the average midpoint of quotes received from brokers who make a market in the bank debt instrument. When utilizing broker quotes for valuation purposes, adjustments may be made to that public price when the market is not active. The length of inactivity will determine the viability of the broker quotes. Quotes deemed to be stale will not be used and the security will be valued using the methodologies for private securities as detailed below.

Investments which are not exchange traded, or for which exchange quotations are not readily available or the quotations are deemed unreliable, are valued using broker quotes or at estimated fair value as determined in good faith by the General Partner, with observable market inputs or third party inputs, where available. Investments for which exchange quotations are not readily available may include specific classes or series of an issuer's equity or debt securities, investments in private entities and securities traded over-the-counter. The methods and procedures used to value these investments may include, but are not limited to: (i) performing comparisons with prices of comparable or similar securities; (ii) obtaining valuation-related information from the issuers; (iii) calculating the present value of future cash flows; (iv) assessing other analytical data and information relating to the investment that is an indication of value; and (v) obtaining information provided by third parties. Inputs utilized to determine fair value when the above methods are used include, but are not limited to, market prices for referenced securities, yield curves, spread analysis, discount rates, measures of volatility, net asset values published by third party fund managers, analysis of qualitative and quantitative data in relation to the strength and condition of the issuer (including budgets, earnings projections, expenses and business plans) and correlations of such inputs.

The resulting change in unrealized gain/(loss) on investments is reflected in the statement of operations.

The quarterly procedures established for Level III investments include comparing unobservable inputs to observable inputs for similar positions, reviewing subsequent market activities, performing comparisons of actual versus projected cash flows, and discussing the valuation methodology, including pricing techniques, when applicable, with investment professionals. Independent pricing services may be used to corroborate the General Partner's internal valuations.

The policies and procedures used in the valuation process for Level III measurements are overseen and approved by the General Partner's valuation committee that meets quarterly. In certain circumstances, it may be concluded that more than one valuation technique may be relevant for a given investment. When multiple valuation methodologies are considered appropriate, a weighting is ascribed to each method after consideration of various factors such as the availability of supportable information for each method, the expected holding period of the investment and the manner of expected realization for the investment.

The following table summarizes the valuation of the Partnership's investments in accordance with the aforementioned fair value hierarchy levels as of December 31, 2025:

	Level I	Level II	Level III	NAV Practical Expedient	Total
Investments					
Common Stocks					
Consumer Staples	$ 9,620,000	$ -	$ -	$ -	$ 9,620,000
Communication Services	8,112,334	-	-	-	8,112,334
Services	9,766,545	-	-	-	9,766,545
Information Technology	752,038	-	-	-	752,038
Financial	21,039,636	-	-	-	21,039,636
Real Estate	9,660,264	-	-	-	9,660,264
	58,950,817	-	-	-	58,950,817
Private Investments					
Reinsurance	-	-	20,290,941	-	20,290,941
Software	-	-	17,906,824	-	17,906,824
Consumer Staples	-	-	428,558	-	428,558
Financial	-	-	6,809	-	6,809
Industrial	-	-	13,811,758	860,568	14,672,326
Technology	-	-	44,022,486	-	44,022,486
	-	-	96,467,376	860,568	97,327,944
Total Investments	58,950,817	-	96,467,376	860,568	156,278,761
Derivatives					
Equity Swap					
Consumer Discretionary	-	(1,457,056)	-	-	(1,457,056)
	-	(1,457,056)	-	-	(1,457,056)
Total Derivatives	$ -	$ (1,457,056)	$ -	$ -	$ (1,457,056)

The changes in assets and liabilities measured at fair value for which the Partnership used significant Level III inputs to determine fair value are included in the table below. The Partnership assumes that any transfers between levels during the year occur at the beginning of the year. For the year ended December 31, 2025, there were no transfers into or out of the Level III fair value hierarchy.

	Private Investments
Purchases of Private Investments	$ 5,811,331

The General Partner has determined fair value for its Level III investments as follows:

Private Equity	Estimated Fair Value	Valuation Technique	Unobservable Inputs	Range of Inputs Low	Range of Inputs High	Weighted Average
Industry						
Technology						
	$44,022,485	Market Approach	Latest Round Price	$ 0.50	$ 164.32	$ 154.45
Industrial						
	13,811,758	Market Approach	Latest Round Price	$ 3.41	$ 28.95	$ 18.72
			Implied Volatility	60.00	111.23	98.76
Consumer Staples						
	428,559	Scenario Analysis	Discount Rate	25%	25%	25%
Software	17,906,824	Market Approach	EBITDA Multiple	8.4x	13.5x	10.9x
			Annual Recurring Revenue Multiple	10x	10x	10x
Reinsurance	20,290,941	Net Asset Value				
Financial						
	6,809	Asset Approach	Average price of tokens			
Total	$96,467,376					

The following table summarizes the Partnership's investment in an investment fund measured at fair value using the NAV practical expedient as of December 31, 2025:

Strategy	Fair Value (NAV)	Unfunded Commitment	Redemption Notice Period	Redemption Notice Period	Liquidity Restrictions	Investment Objective
Quantitative	$ 860,568	$ -	90 days	Quarterly	1-year lockup	To generate absolute returns by employing quantitative strategies in niche markets that present significant inefficiencies

Foreign Currency Transactions

The functional currency of the Partnership is the U.S. dollar. All other currencies are considered foreign. Assets and liabilities denominated in a foreign currency are translated into U.S. dollars at the prevailing rates of exchange on the valuation date. Purchases and sales of investments are translated at rates of exchange prevailing when such investments were purchased or sold. Income and expenses are translated at rates of exchange prevailing when earned or accrued. The Partnership does not isolate the portion of the results of operations resulting from changes in foreign currency exchange rates on investments from fluctuations arising from changes in the valuation of investments. Accordingly, such realized and unrealized gains and losses are included with net realized and unrealized gain/(loss) from investments and foreign currency on the statement of operations. Realized and unrealized gains and losses on foreign currency balances and foreign currency accruals are included in the net realized gain or loss on investments and foreign currencies, and net unrealized gain/(loss) from investments and foreign currencies on the statement of operations.

Income Taxes

The Partnership is not subject to U.S. federal, state or local income taxes. Partners are individually liable for the taxes on their share of the Partnership's taxable income or loss. The only taxes payable by the Partnership on its income are withholding taxes applicable to certain income, if any. There were no taxes incurred by the Partnership for the year ended December 31, 2025.

In accordance with ASC 740, the Partnership recognizes the tax benefits or liabilities of uncertain tax positions only if it is "more likely than not" that the tax position is sustainable assuming examination by tax authorities. The Partnership files tax returns as prescribed by the tax laws of the jurisdictions in which it operates and is treated as a partnership for U.S. federal and state income tax purposes. In the normal course of business, the Partnership is subject to examination by U.S. federal, various states, and foreign jurisdictions where the Partnership makes significant investments; however, the Partnership is not aware of any tax positions for which it is reasonably possible that the total amounts of unrecognized tax benefits will change materially in the next twelve months. The Partnership has determined that no accrual for unrecognized tax benefits or liabilities should be recorded for any positions to be taken in the Partnership's 2025 tax returns. The Partnership's 2022, 2023 and 2024 tax returns are subject to examination.

The Partnership's policy is to classify interest and penalties associated with underpayment of income taxes as income tax expense on its statement of operations. For the year ended December 31, 2025, the Partnership does not have any interest or penalties associated with the underpayment of any income taxes.

The Partnership has analyzed its tax position with respect to applicable income tax issues for all open tax years (in each jurisdiction pursuant to the respective statute of limitations) and determined no material tax liabilities exists as of December 31, 2025.

Due from Brokers

The Partnership's investment transactions in marketable securities, if any, will be primarily maintained, cleared and held by one major international brokerage firm pursuant to a clearance agreement. In 2025, due from broker consists of $1,380,000 in cash collateral pledged to the Partnership for derivative contracts with one counterparty.

The due from broker consists of $3,095,437 in net cash balances (comprised of US dollars and other foreign currencies) in this brokerage account. Of this balance, $1,380,000 is subject to restriction, as it is due from one counterparty for derivative contracts. The Partnership is subject to credit risk to the extent that these institutions may be unable to fulfill its obligations to repay the amounts owed.

Certain of the Partnership's securities held by the clearing brokers or prime brokers may be pledged to the brokers on terms that permit the brokers to re-pledge the securities to others, subject to certain limitations. No securities have been pledged or received as collateral in 2025.

3. CASH AND CASH EQUIVALENTS

Cash and cash equivalents may consist of cash held in the Partnership's bank accounts, which may exceed federally insured limits, and U.S. dollar denominated money market funds held at the Partnership's prime broker, respectively. The Partnership considers short-term investments maturing within three months from the date of purchase and money market fund investments to be cash equivalents. At December 31, 2025, the Partnership does not have cash equivalents. The Partnership is subject to credit risk to the extent that the brokerage custodian may be unable to fulfill its obligations. Interest income from cash and cash equivalents is recorded in interest income in the statement of operations.

4. RISK MANAGEMENT

In the ordinary course of business, the Partnership may manage a variety of risks including market risk, credit risk, liquidity risk and foreign market risk. The Partnership identifies measures and monitors risk through various control mechanisms, including, but not limited to, monitoring the magnitude of diversifying exposures and activities across a variety of instruments, markets and counterparties.

Market risk is the risk of potential adverse changes to the value of financial instruments and derivatives because of changes in market conditions such as interest rate movements and volatility in commodity or security prices. The Partnership manages its exposure to market risk through the implementation of hedging techniques and monitoring exposures. The Partnership identifies the potential exposure by employing quantitative and qualitative analysis.

Credit risk is the risk that counterparties or debt issuers may fail to fulfill their obligations or that collateral value becomes inadequate. The Partnership attempts to minimize its credit risk by monitoring the credit exposure and the creditworthiness of counterparties, requiring additional collateral where permitted, and using master netting agreements and the right to setoff whenever possible. The Partnership attempts to minimize credit risk from debt issuers by entering into credit default swaps when appropriate.

Liquidity risk arises in the general funding of the Partnership's operations. It includes the risks of not being able to make investments or cover expenses incurred by the Partnership. The Partnership manages liquidity risk by monitoring cash levels, collecting interest and dividends on its investments, and calling capital from its partners. The Partnership is subject to credit risk of the depository banks and lending institutions, (as applicable), including such relationships of the portfolio companies. Adverse events impacting those entities may negatively impact the Partnership's operations. Additionally, since the Partnership co-invests with funds managed by the Management Company and its affiliates, any adverse impacts to those funds or the operations of the Management Company or its affiliates, from any such credit risks may also negatively impact the Partnership.

Investing in foreign markets may involve special risks and considerations not typically associated with investing in the United States. These risks include revaluations of currencies, high rates of inflation, repatriation restrictions on income and capital, and adverse political and economic developments. Securities issued in these markets may be less liquid, subject to government ownership and control, delayed settlements, and their prices may be more volatile than those of comparable securities in the United States. The Partnership attempts to manage its exposure to foreign market risk through the use of risk management strategies and various analytical monitoring techniques. The Partnership identifies potential foreign market exposure by employing quantitative and qualitative analysis.

5. FINANCIAL INSTRUMENTS WITH OFF-BALANCE SHEET RISK

In the normal course of its business, the Partnership trades various financial instruments and enters into various investment activities with off-balance sheet risk. These financial instruments include futures, swap contracts, forward contracts, written options and securities sold short. Each of these financial instruments contains varying degrees of off-balance sheet risk whereby changes in the market values of the securities underlying the financial instruments or the Fund's satisfaction of the obligations may exceed the amount recognized in the statement of financial condition. See Note 6 for more information on the risks associated with derivative contracts.

6. DERIVATIVE CONTRACTS

Under U.S. GAAP, the Partnership is required to disclose its objectives and strategies for using derivatives by primary underlying risk exposure, information about the volume of derivative activity, disclosures about credit-risk-related contingent features, quantitative disclosures of the location and gross fair value of derivative instruments reported in the statement of financial condition and location of the gains and losses generated from derivative investing activity during the year ended December 31, 2025 on the statement of operations.

Derivative contracts serve as components of the Partnership's investment strategies and are utilized primarily to structure and hedge investments to enhance performance or to reduce risk to the Partnership. The Partnership may trade in both exchange traded and OTC derivatives.

The Partnership monitors the fair value of its derivative transactions and posts, or is receives, cash collateral as negotiated with its counterparties. Cash collateral pledged or received on these transactions is reflected on the statement of financial condition in due from and due to brokers and counterparties.

The Partnership may invest in derivative contracts with underlying exposure to currency risk ("currency risk contracts"), equity price risk ("equity risk contracts"), and credit risk ("credit risk contracts"). Currency risk contracts consist of foreign currency forwards and are used to manage risk, hedge or gain exposure in foreign currency exchange rates.

Equity risk contracts consist of options, warrants, futures, and equity swaps (including contract for differences) with underlying exposure to equity securities. Equity risk contracts allow the Partnership to manage the exposure to price movements in equity markets.

These instruments may involve market risk and credit risk in excess of the amount recognized in the statement of financial condition. Risks arise from the possible inability of counterparties to meet the terms of their contracts and from the movement in currency and investment values and interest rates.

Swap agreements can be individually negotiated and structured to include exposure to a variety of different types of investments or market factors. Swap agreements can take many different forms and are known by a variety of names. The Partnership is not limited to any particular form of agreement if consistent with the Partnership's investment objective and policies. Swap agreements tend to shift the Partnership's investment exposure from one type of investment to another. Depending on how they are used, swap agreements may increase or decrease the overall volatility of the Partnership's portfolio. The most significant factor in the performance of swap agreements is the change in the price of the underlying security, specific interest rate, currency, or other factors that determine the amounts of payments due to and from the Partnership. If a swap agreement calls for payments by the Partnership, the Partnership must be prepared to make such payments when due. In addition, if the creditworthiness of a counterparty declines, the value of swap agreements with such counterparty can be expected to decline, potentially resulting in losses by the Partnership. With swap agreements, the payment flows are usually netted against each other, where the right of offset exists with the counterparty with the difference being paid by one party to the other. Therefore, amounts required for the future satisfaction of the swap may be greater or less than the amount recorded. The ultimate gain or loss depends upon the price at which the underlying financial instrument of the swap is valued at the swap's settlement date and is included in the statement of operations.

The Partnership records its derivative activities at fair value as described in Note 2. The following table summarizes the fair value and location of derivative contracts reflected in the statement of financial condition as of December 31, 2025, as well as the amounts and locations of net realized and unrealized gains/losses from derivative contracts during the year ended December 31, 2025 on the statement of operations.

Type Investment/ Risk Category	Derivative Assets	Derivative Liabilities	Realized Gain or (Loss) on Derivatives Recognized in Income *	Change in Unrealized Appreciation or (Depreciation) on Derivatives Recognized in Income *
Swap Contract - Equity	$ -	$ 1,457,056	$ -	$ (1,045,652)
Total	$ -	$ 1,457,056	$ -	$ (1,045,652)

*Derivative assets and liabilities are included in derivative contracts at fair value on the statement of financial condition. Realized gain or (loss) on derivatives and unrealized gain (loss) on these derivatives are included in net realized gain from investments, derivative contracts and foreign currencies and net unrealized gain from investments, derivative contracts and foreign currencies respectively, on the statement of operations.

Balances in the preceding table are presented on a gross basis, prior to the application of the impact of counterparty and collateral netting as permitted by the Partnership's bilateral International Swaps and Derivatives Association ("ISDA") Master Agreements. The Partnership generally enters into master netting arrangements via its ISDA Master Agreements with its counterparties which allow it to offset amounts owed from the counterparty with amounts payable to the same counterparty. Certain derivative contracts are not subject to ISDA Master Agreements such as exchange traded option contracts and futures. These instruments are subject to Prime Brokerage and Futures Client Account agreements and may, in certain cases, provide the Partnership with cross-product netting agreements which allow for netting and set-off of a variety of types of derivatives with a single counterparty. In order for an arrangement to be eligible for netting under U.S. GAAP, the Partnership must have a basis to conclude that such netting arrangements are legally enforceable. The analysis of the legal enforceability of an arrangement differs by jurisdiction, depending on the laws of that jurisdiction. In many jurisdictions, specific legislation exists that provides for the enforceability in bankruptcy of close-out netting under a netting agreement, typically by way of specific exception from more general prohibitions on the exercise of creditor rights.

When the Partnership has a basis to conclude that a legally enforceable netting arrangement exists between the Partnership and the derivative counterparty and the relevant transaction is the type of transaction that is recorded in the statement of financial condition, the Partnership may offset derivative assets and liabilities. However, the Partnership has elected to record the amounts it owes to and the amounts it is owed from its counterparties relating to its derivative activities on a gross basis on the statement of financial condition.

The Partnership views its net exposure to be ($2,837,056) at December 31, 2025, which represents the fair value of all OTC derivative contracts for which the Partnership is in a net unrealized loss position of ($1,457,056) less $1,380,000 of collateral posted with the Partnership's counterparty.

The following table summarizes the volume of the Partnership's derivative activity by presenting notional or contract amounts, as applicable, of the Partnership's derivative contracts during the year ended December 31, 2025.

	Long exposure		Short exposure	
Primary underlying risk	**Average Notional amount**	**Average Number of contracts**	**Average Notional amount**	**Average Number of contracts**
Swap Contract - Equity	$ 1,660,705	29,287	$ -	-
Total	$ 1,660,705		$ -	

Pursuant to the Partnership's derivative ISDA Master Agreements, the Partnership is required to maintain sufficient collateral or maintain a predetermined level of partners' capital, and/or provide limits regarding the decline of such partners' capital valued over three-month and twelve-month periods. If the Partnership were to violate such provisions, the counterparties to the derivative contracts could request immediate payment on all open derivative contracts in a net liability position, after the application of master netting arrangements ("credit-risk related contingency features") or cause the Partnership to post additional collateral. During the year ended December 31, 2025, there were no such violations. The fair value of derivatives with credit-risk related contingency features that are in a net liability position is ($1,457,056) at December 31, 2025.

7. MANAGEMENT FEE

The Partnership shall pay to the Management Company on the first day of each fiscal quarter a fee for management services (the "Management Fee") sufficient to cover all Management Company expenses (i.e. salaries and benefits of professional, administrative and other personnel of the Investment Manager and the General Partner, rent, office equipment, costs related to compliance with Advisers Act prorated for partial periods). For the year ended December 31, 2025, the Management Fee shall be a portion of the aggregate amount of management fees payable to the Investment Manager for calendar year 2025 from the Partnership, Fund II, Perry Creek Capital Strategic Partners LP, Perry Creek Capital Fund I LP and Perry Creek Capital Fund III LP. Management Fees shall be allocated on a pro rata basis based on the sum, for each such vehicle of (a) its respective undrawn commitments; provided that such amount shall be deemed to be zero if the investment period of such vehicle has expired, plus (b) its net asset value (excluding undrawn commitments). The aggregate amount approved by the Advisory Committee for the year ended December 31, 2025 was $7,700,000. At least 30 days prior to the start of each Fiscal Year, the General Partner will submit a proposal for the Management Fee for the Fiscal Year to the Advisory Committee. Such proposal will be effective unless the Advisory Committee rejects such proposal, in which event the Management Fee for such Fiscal Year shall be the Management Fee for the immediately prior Fiscal Year. The General Partner may use its sole discretion to waive or reduce Management Fees of Limited Partners. For the year ended December 31, 2025, the Partnership was charged $1,300,100 of management fees based on amounts determined by the Management Company in accordance with the allocation method detailed above. For the year ending December 31, 2026, the Advisory Committee has approved a management fee of $7,700,000.

8. CAPITAL COMMITMENTS, CONTRIBUTIONS AND DISTRIBUTIONS

As a result of the initial closing of Perry Creek Capital Fund III LP on February 19, 2025, the Partnership's Investment Period terminated and as a result, the General Partner elected to reduce the Partnership's Unfunded Commitment to $30,035,500: representing 10% of the Partnership's original commitment of $300,350,000. For the year ended December 31, 2025, the partners of the Partnership contributed $5,770,873 (19.21% of the reduced commitments) to the Partnership and had remaining unfunded capital commitments of $24,264,627 (the "Unfunded Commitment"). In accordance with certain terms agreed to with the Limited Partners, the capital commitments described above include $35,500 in commitments made by the General Partner and certain of its affiliates ($3,000 of which is comprised of commitments made directly by the General Partner). Each partner's Unfunded Commitment shall be paid to the Partnership to fund Investments, Investment Expenses, Partnership Expenses and Organizational Expenses in the amounts specified, through the capital calls made by the General Partner, with 10 business days written notice. Pursuant to the Agreement, the partners of the Partnership are obligated to contribute cash up to their Unfunded Commitment during the Investment Period. Following the Investment Period, which terminated on February 19, 2025, the General Partner may continue to draw funds from the partners to cover liabilities and expenses of the Partnership, including Management Fees, make follow-on investments and fund guarantees or loans that exist at the end of the Investment Period.

Portfolio Investment distributions, distributions in kind and other distributions shall be distributed among the partners in accordance with the provisions of the Agreement as detailed in Note 9. Distributions shall be made only in cash or marketable securities (in kind distributions) in the sole discretion of the General Partner. Assets distributed in kind will be treated as having been distributed in kind by the Partnership at a value determined by the General Partner in accordance with the Agreement. Following the Investment Period (and at such other times as the General Partner may determine) the General Partner will seek to distribute the net proceeds received in connection with the disposition of all or a portion of any Investment and any other cash available for distribution as soon as reasonably practicable and in any event no less frequently than quarterly. The General Partner has the sole discretion to reduce distributions or otherwise maintain reserves for payment of expenses and liabilities of the Partnership, including the Management Fee. The Partnership distributed $58,152,894 (including $1,152,894 as Tax Distributions), of which $56,219,694 was distributed in cash, during the year ended December 31, 2025.

9. ALLOCATION OF PROFITS AND LOSSES

Each partner has a capital account with an initial balance equal to the amount such partner contributed to the Partnership. At the end of each Fiscal Year, the capital accounts of the Partnership are increased by net profits or decreased by net losses of the Partnership based on a hypothetical liquidation methodology generally consistent with the distribution provisions of the Agreement as described below. Distribution proceeds attributable to any portfolio investment shall initially be apportioned among the partners in proportion to their Capital Contributions with respect to such portfolio investment; with the initial amount attributable to each limited partner being subjected to the following waterfall which could potentially reallocate a portion of such limited partner's distributions to the General Partner. The Agreement provides that the amount so apportioned to the General Partner shall be distributed to the General Partner and the remaining amount so apportioned to each limited partner shall be further apportioned between such limited partner and the General Partner as follows:

(i) *Advance Carried Interest*: First, at the option of the General Partner, there may be distributed to the General Partner under this section a Limited Partner's proportionate share of up to a cumulative maximum of $5,000,000 of Advance Carried Interest (“ACI”) as defined in the Agreement.

(ii) *Return of Capital*: Second, 100% to such Limited Partner until such Limited Partner has received cumulative distributions under section (ii) equal to 100% of its prior Capital Contributions (including any recalled amounts);

(iii) *Hard Hurdle:* Third, 100% to such Limited Partner until such Limited Partner has received cumulative distributions under section (ii) and section (iii) equal to an internal rate of return, compounded annually, of 5% on its Capital Contributions (including any recalled amounts), calculated by treating Capital Contributions (including any recalled amounts) as outflows on the date such contributions are due to the Partnership (or, if later, the date of contribution) and treating all distributions under section (i), (ii) and (iii) as inflows on the date made (the “Preferred Return”);

(iv) *80/20 Split*: Thereafter, 80% to such Limited Partner and 20% to the General Partner (calculated assuming any prior distributions under (i) and any Tax Distributions had not occurred); provided that the amount distributable to the General Partner under (iv) shall be reduced by the amounts previously distributed to the General Partner under (i) along with any Tax Distributions (the distributions to the General Partner pursuant to section (i) and (iv) are referred to as the “Carried Interest”).

As of December 31, 2025, the General Partner was allocated cumulative Carried Interest of $28,178,021, including $5 million of Advanced Carried Interest that was paid in accordance with the Agreement. The General Partner has also received Tax distributions of $6,374,914 which are not subject to Clawback.

10. GUARANTEES

In the normal course of business, the Partnership may enter into contracts that provide a variety of representations, warranties, and indemnifications. Such contracts include those with certain service providers, brokers and trading counterparties. As of December 31, 2025, there are no guarantees of debt at portfolio companies. Any exposure to the Partnership under these arrangements would involve future claims that may be made against the Partnership. No material claims exist or are expected to occur; therefore, the Partnership has not accrued any liability in connection with such arrangements.

11. RELATED PARTY TRANSACTIONS

For the year ended December 31, 2025, the Partnership reimbursed the Management Company $9,464 for travel and meal expenses incurred in the evaluation of investments that were paid on its behalf by the Management Company.

As of December 31, 2025, approximately 0.1% of all capital contributed to the Partnership has been made by the General Partner and its affiliates. Affiliates of the General Partner do not pay management fees and are not subject to the Carried Interest provision as detailed in Note 9.

The Partnership has made investments that are parallel with other funds managed by the Management Company.

12. FINANCIAL HIGHLIGHTS

Financial highlights for the year ended December 31, 2025 are presented below:

Ratios to Average Limited Partners' Capital: (1)	
Net investment income (2)	0.64%
Expense ratio	
Expenses	1.39%
Carried interest allocation	7.20%
Total expenses after carried interest	8.59%
Internal rate of return - inception to date (3)	
December 31, 2024	13.74%
December 31, 2025	15.46%

The financial highlights are calculated for the limited partner class taken as a whole. An individual partner's return and ratios may differ based on the timing of their admission to the Partnership or different management fee and carried interest arrangements.

1 Average limited partners' capital is measured using the weighted average limited partners' capital for the year ended December 31, 2025. The weighted average net assets are measured at each quarter end and any other period when capital is contributed or withdrawn from the Partnership during the year.

2 Net investment income includes income less all expenses, including management fees, and excludes realized and unrealized gains and losses, and Carried Interest.

3 The internal rate of return ("IRR") since inception of the limited partners' interest represents the annualized effective compounded rate of return. The IRR is net of all fees and Carried Interest allocated to the General Partner, and was computed based on dates of capital contributions and distributions, and the limited partners' capital at the end of the year (residual value).

13. SUBSEQUENT EVENTS

Subsequent events have been evaluated from January 1, 2026 through March 20, 2026 which is the date the financial statements of the Partnership were available to be issued.

On February 24, 2026, the Partnership distributed $21,294,600 to its partners.